Decision Memo — Working Draft

Decision and committee ask

Watch/defer Apple; do not initiate at $337.00 per share as of September 17, 2026. The committee should authorize completion of the FCFF pro-forma and peer-policy work before revisiting the action.

Evidence and as-of date

The interim FCFF DCF estimates $224.42 per share at 7% five-year FCFF growth, 8% WACC, and 3% terminal growth. A qualified-lead P/E cross-check implies $206.86–$239.69. These methods are not averaged. See `docs/validation-and-ai-use.md` for validation and AI-use disclosure.

Material assumptions, risks, and monitoring

The starting FCFF, WACC, bridge convention, and peer comparability are not final. Monitor Services growth, iPhone demand, Greater China, gross margin, regulation, and cash-flow conversion. Revisit only after the FCFF pro-forma, valuation bridge, and peer policy are validated.

Action requested and next review point

Authorize the model rebuild and a refreshed valuation range. An initiate recommendation requires validated evidence supporting a materially stronger cash-flow path or a price consistent with the refreshed valuation range.